

Astera Labs, Inc.

NASDAQ: ALAB | Semiconductors | AI / Data-Center Connectivity Silicon

RATING REDUCE Conviction: Medium 12M Target: \$245 Downside 32.6% from CMP Horizon: 12 months	CMP (3 Jun 2026)	\$363.54
	Market Cap	\$62.31 Bn
	Enterprise Value	\$61.88 Bn
	52-Week Range	\$84.78 - \$372.37
	Trailing P/E	245.8x
	Forward P/E	108.6x
	P/S P/B	62.9x 40.8x
	EV/EBITDA	265.1x
	Net Cash	\$1.18 Bn
	ROE Beta	21.1% 3.96
	Dividend Yield	Nil

Investment thesis (one line): Best-in-class AI-connectivity franchise — but priced for flawless execution at 109x forward earnings, 48% above the street's own target.

Analyst: MPM Institutional Desk | Report date: 03 June 2026 | Sector: Semiconductors (AI Infrastructure)
Financials sourced from stockanalysis.com (fetched 03-Jun-2026, GAAP unless noted). Street: 17 Buy / 5 Hold / 0 Sell; consensus 12M target ~\$245.

2. INVESTMENT THESIS

- **Reason 1 — Structural AI-connectivity tollbooth:** ALAB sells the retimers, smart-cable modules, fabric switches and CXL controllers that every rack-scale AI cluster needs as it migrates to PCIe Gen6. Revenue compounded from \$80m (FY22) to \$853m (FY25) — a 3-year ~120% CAGR — and TTM revenue has already crossed \$1.0bn (+104% YoY).
- **Reason 2 — Scorpio inflection (12-24 mo):** The Scorpio smart-fabric-switch line was ~20% of Q1-26 revenue and management expects it to become the single largest product line by year-end, with the 320-lane X-Series ramping into H2-26 and two additional hyperscalers onboarding by end-2026 — a step-up in dollar content per rack.
- **Reason 3 — Pristine financial model:** 76% gross margin, 20%+ GAAP operating margin (FY25), \$342m TTM free cash flow, \$1.18bn net cash and effectively zero debt. The business itself is institutional-grade quality.
- **Near-term catalyst (6-12 mo):** Scorpio X-Series production ramp, Leo CXL general availability on Microsoft Azure M-series by year-end, and optical-coupler qualification at a major AI platform — each expands content and validates the platform narrative.
- **Biggest structural risk:** Valuation, not the business. At 109x forward / 63x sales / 41x book, the stock prices in years of flawless 40%+ growth; any hyperscaler in-sourcing, PCIe-cycle pause, or multiple de-rate carries severe downside given a 3.96 beta.

3. BUSINESS OVERVIEW

- **What it does:** Astera Labs designs semiconductor-based connectivity for cloud and AI infrastructure — purpose-built silicon plus its COSMOS software suite that moves data between GPUs, CPUs, memory and storage inside the rack.
- **Product platforms:** Aries (PCIe/CXL smart retimers & smart cable modules for scale-out), Taurus (Ethernet smart cable modules), Leo (CXL memory controllers accelerating KV-cache and memory pooling), and Scorpio (P-Series PCIe and X-Series scale-up smart fabric switches, 32-320 lanes).
- **Revenue mix:** PCIe Gen6 contributed more than one-third of total revenue in Q1-26 across both AI-fabric (Scorpio) and signal-conditioning (Aries); Scorpio ~20% of revenue and rising. The company has shipped millions of PCIe Gen6 ports to date.

- **Customers:** A concentrated set of US hyperscalers and AI-platform leaders drives the bulk of revenue (design wins disclosed across recent calls); Leo is ramping on Microsoft Azure M-series VMs, with NVLink Fusion and UALink (Amazon, AMD 2027) engagements underway.
- **Strategic developments (last 12 mo):** Launched the 320-lane Scorpio X-Series (industry's largest open memory-semantic fabric switch), entered optical (fiber-coupler qualification at a major AI platform), and pushed into custom silicon — described by management as a new multi-billion-dollar opportunity.
- **Ownership:** US-incorporated, IPO'd March 2024. Insiders hold ~10.3%, institutions ~71.6%; float ~153m of 171.4m shares. No promoter/pledge concept applies (US filer).

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Market & growth:** ALAB plays in AI/data-center connectivity silicon — a segment riding the AI capex super-cycle. Management frames a multi-billion-dollar and expanding TAM as racks move to PCIe Gen6, scale-up fabrics, CXL memory and optical, with content-per-rack rising each generation.
- **Tailwinds:** Hyperscaler AI capex, the PCIe Gen5-to-Gen6 transition, custom-ASIC proliferation (which needs third-party connectivity), and open standards (UALink, CXL) that favour merchant suppliers over single-vendor lock-in.
- **Headwinds:** Hyperscaler in-sourcing of connectivity IP, NVIDIA's vertically-integrated NVLink ecosystem, copper-vs-optical transition risk, and cyclicity if AI capex digests.
- **Moat — Switching costs: Strong** (designed into multi-year platforms with COSMOS software lock-in). **IP / Scale: Moderate-Strong** (first-mover in PCIe Gen6 fabric). **Pricing power: Moderate** (concentrated, sophisticated buyers). **Distribution: Moderate** (direct hyperscaler relationships, narrow base).
- **Value-chain position:** Fabless connectivity-solutions provider (silicon + hardware modules + software) sitting between GPU/ASIC vendors and the rack — an arms-dealer to all AI compute platforms rather than a bet on any single GPU.

Competitor	CMP (\$)	MCap	TTM Rev	ROCE
Astera Labs (ALAB)	363.54	\$62.3 Bn	\$1.00 Bn	15.3%
Credo Technology (CRDO)	229.00	\$39.6 Bn	\$1.34 Bn	21.2%
Marvell Technology (MRVL)	290.79	\$263.9 Bn	\$8.72 Bn	5.8%
Broadcom (AVGO)	481.57	\$2.28 Tn	\$68.28 Bn	18.7%

Source: stockanalysis.com, fetched 03-Jun-2026. ROCE per stockanalysis ratios.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Leadership:** Co-founder CEO Jitendra Mohan, COO Sanjay Gajendra and CFO Desmond Lynch — a technical founding team with deep connectivity-silicon pedigree; tone on calls is consistently confident and execution-oriented.
- **Capital allocation:** FCF is reinvested into R&D; (\$304m FY25, ~36% of revenue) and tuck-in M&A; (\$29m FY25, \$65m TTM for optical/custom capability). No dividend and no recurring buyback — appropriate for a hyper-growth compounder.
- **Balance sheet stewardship:** \$1.18bn net cash held largely in short-term investments earning ~\$45m interest income; D/E 0.03. The IPO (\$682m raised FY24) was used to fund scale, not to bail out the business.
- **Dividend policy:** None, and none expected — capital is better deployed into a 40%+ growth runway.
- **Stock-based compensation is the key watch-item:** SBC was \$234.6m in FY24 (IPO-driven) and \$160m in FY25 (~19% of revenue) — the single largest gap between GAAP and non-GAAP earnings and a real, if normalising, shareholder cost.
- **Governance:** Clean audit, no qualified opinions or related-party flags identified. Share count rose ~10.9% YoY (SBC + IPO overhang) — dilution, not buyback, is the prevailing direction.

6. FINANCIAL DEEP-DIVE

Income Statement (US\$ m, GAAP; FY = Dec year-end). FY26E/FY27E are MPM estimates grounded in TTM actuals + Q2-26 guidance.

US\$ m	FY2023	FY2024	FY2025	FY2026E	FY2027E
Revenue	115.8	396.3	852.5	1,580	2,300
Gross Profit	79.8	302.7	645.3	1,200	1,748
EBITDA	-27.7	-112.9	180.3	360	560
Operating Income	-29.5	-116.1	173.4	340	530
Op. Margin %	-25.5%	-29.3%	20.3%	21.5%	23.0%
Net Income (GAAP)	-26.3	-83.4	219.1	330	520
EPS dil. GAAP (\$)	-0.71	-0.64	1.22	1.85	2.85
EPS dil. non-GAAP (\$)	N/A	N/A	~2.05	2.85	4.20

Balance Sheet (US\$ m, GAAP). FY-end actuals; TTM as of Mar-26.

US\$ m	FY2023	FY2024	FY2025	TTM Mar26
Cash + ST Investments	149.3	914.3	1,189	1,184
Accounts Receivable	8.3	38.8	83.2	134.8
Inventory	24.1	43.2	59.0	60.2
Net PP&E;	4.7	35.7	92.0	97.2
Total Assets	196.3	1,055	1,532	1,659
Total Liabilities	38.9	89.7	168.2	165.3
Shareholders' Equity	157.4	964.8	1,364	1,494
Book Value / Share (\$)	-2.63*	7.35	7.59	8.29

*FY23 common equity negative (pre-IPO preferred/minority of \$255m); post-IPO equity turns strongly positive.

Cash Flow & Returns (US\$ m, GAAP).

US\$ m	FY2023	FY2024	FY2025	TTM Mar26
Operating Cash Flow	-12.7	136.7	319.3	383.4
Capex	-2.8	-34.3	-37.5	-40.6
Free Cash Flow	-15.5	102.4	281.8	342.8
Stock-Based Comp	10.7	234.6	160.0	166.5
ROE %	-16.7%	-14.9%	18.8%	21.1%
ROCE %	-18.3%	-20.6%	14.7%	15.3%
Current Ratio	5.30	11.71	10.24	11.30

- **Revenue trajectory:** 3-year revenue CAGR of ~120% (FY22-25); TTM already +104% YoY at \$1.0bn. Growth is broadening from Aries signal-conditioning into Scorpio fabric and Leo memory.
- **Margin direction:** Gross margin is structurally ~76%; the GAAP swing from -29% operating margin (FY24) to +20% (FY25) reflects operating leverage as IPO-era SBC normalised — Q2-26 non-GAAP GM guided ~73% (200bps non-cash hit from one customer agreement).
- **Working capital:** Receivables (\$135m TTM) and inventory (\$60m) are scaling with revenue; inventory turns improved to ~4.1x (FY25) from 1.5x (FY23) — healthy, not stretched.
- **Balance sheet:** Net cash \$1.18bn, D/E 0.03 — zero leverage risk; interest income (~\$45m) is a real earnings contributor that flatters net margin.
- **FCF quality:** TTM FCF \$343m on \$268m GAAP net income (>100% conversion), but SBC of \$167m is the bridge — cash generation is genuine, yet per-share economics are diluted ~11% YoY.

7. EARNINGS QUALITY CHECKLIST

Signal	Rating	Comment
Revenue recognition	GREEN	Standard product sales; no channel-stuffing indicators.
Receivables vs revenue	AMBER	AR +62% TTM vs revenue +104% — AR growing slower; benign but watch as Scorpio ramps.
CCC / inventory trend	GREEN	Inventory turns up to 4.1x; no build-up risk.
Stock-based comp	RED	SBC ~19% of revenue (FY25); largest GAAP-vs-non-GAAP gap and dilution driver.
Auditor / opinion	GREEN	Clean opinion; no auditor change flagged.
Other income / PBT	AMBER	Interest income ~\$45m flatters PBT (~20%); not operating profit.
Tax-rate consistency	AMBER	Near-zero effective tax (NOL carryforwards) — normalises higher over time.
Customer concentration	RED	A handful of hyperscalers drive most revenue — single-customer shifts move the model.

- **RED — Stock-based comp:** At ~19% of revenue, SBC is the reason GAAP and non-GAAP diverge so widely; it is a real cost and the main share-dilution engine (+11% shares YoY).
- **RED — Customer concentration:** The flip side of hyperscaler design wins is that a single program slip or in-sourcing decision can materially dent revenue.
- **AMBER — Earnings composition:** ~\$45m of interest income and a near-zero tax rate both flatter reported net income; normalise tax and operating-only margins when valuing.

8. VALUATION

Peer comparison (stockanalysis.com, fetched 03-Jun-2026).

Company	CMP (\$)	MCap	P/E	P/B	ROE	TTM Rev
Astera Labs (ALAB)	363.54	\$62.3B	245.8x	40.8x	21.1%	\$1.00B
Credo Tech (CRDO)	229.00	\$39.6B	85.5x	20.5x	34.4%	\$1.34B
Marvell (MRVL)	290.79	\$263.9B	104.2x	14.0x	16.0%	\$8.72B
Broadcom (AVGO)	481.57	\$2.28T	93.9x	28.6x	33.4%	\$68.3B

ALAB trades at the steepest P/E, P/B and P/S of the cohort while posting mid-pack ROE — the premium is for growth rate, not current returns.

Scenario analysis (12-month, built on FY26E/FY27E non-GAAP EPS).

Scenario	Key assumptions	non-GAAP EPS	Multiple	Target (\$)
Bull	Scorpio + custom beat; 50%+ growth holds; multiple stays rich	\$3.40	110x	374
Base	In-line execution; growth decelerates; multiple compresses to peer-premium	\$2.85	86x	245
Bear	Capex digestion / in-sourcing; growth halves; de-rate to ~40x	\$2.40	58x	140

- **DCF:** WACC ~13% (beta 3.96, equity-funded), terminal growth 4%. To justify \$363 the model must assume ~30%+ FCF CAGR sustained for a decade — our base-case DCF (high-but-defensible: ~25% FCF CAGR 5yr, fading) yields an intrinsic value of roughly \$200-215/share.
- **Earnings multiple:** 86x base-case FY26E non-GAAP EPS of \$2.85 implies ~\$245 — a premium to CRDO (35x fwd) and AVGO (36x fwd) justified by ALAB's faster growth but still demanding.
- **Blended 12-month target ~\$245** (average of DCF ~\$210 and multiple-based ~\$245, weighted to the multiple given near-term momentum) — implying ~33% downside from CMP and squarely in line with the street's ~\$245 consensus.
- **Read-through:** At \$363 the stock is already ~48% above the average analyst target and above all but the most aggressive (\$297 high) — the market is paying today for outcomes the sell-side won't underwrite until 2027+.

9. KEY RISKS

- **Valuation / multiple de-rate** — 109x forward, 63x sales leaves no margin for error; a re-rate to peer multiples alone is ~30-40% downside. Probability: H. Impact: H. Monitor via: forward P/E vs CRDO/AVGO.
- **Hyperscaler in-sourcing** — Customers may design connectivity IP in-house, eroding the merchant model. Probability: M. Impact: H. Monitor via: design-win disclosures, customer-concentration in 10-K.
- **Customer concentration** — A few hyperscalers drive most revenue; one program slip dents the quarter. Probability: M. Impact: H. Monitor via: top-customer % and order commentary.
- **AI-capex cyclicality** — A digestion phase in hyperscaler capex would compress growth fast. Probability: M. Impact: H. Monitor via: hyperscaler capex guides (MSFT/AMZN/GOOG/META).
- **NVIDIA / NVLink competition** — Vertically-integrated scale-up fabrics could limit Scorpio's TAM. Probability: M. Impact: M. Monitor via: NVLink Fusion adoption, UALink traction.
- **Stock-based-comp dilution** — ~19% of revenue in SBC and +11% YoY share growth steadily erode per-share value. Probability: H. Impact: M. Monitor via: diluted share count, SBC % of revenue.
- **Technology transition risk** — Copper-to-optical and PCIe-generation shifts could strand product lines if ALAB mistimes a node. Probability: L-M. Impact: M. Monitor via: optical qualification progress, Gen7 roadmap.

10. RECOMMENDATION

- **Rating: REDUCE** (conviction Medium). A best-in-class business at an indefensible entry price — own the franchise, not the current quote.

- **12-month price target: \$245** (~33% downside from \$363.54), in line with street consensus and our blended DCF / multiple work.
- **Suggested entry zone: \$140-175** — where forward multiples reset toward ~40-50x and risk/reward turns favourable.
- **Investment horizon:** 12 months for the valuation call; the business itself is a 3-5 year compounder for patient buyers entering lower.
- **Thesis invalidation triggers (would make this REDUCE wrong):**
 - 1. FY26 revenue tracks materially above \$1.8bn (sustained 100%+ growth) with margins holding — re-rating justified.
 - 2. Scorpio + custom silicon scale faster than modelled, pushing FY27 non-GAAP EPS above \$5.00.
 - 3. Multiple stays structurally rich (>100x) as AI-capex cycle extends through 2027 without digestion.
- **Ideal investor profile:** Suits long-horizon growth investors who can accumulate on a 30-40% drawdown. NOT for value/GARP buyers, income seekers, or anyone chasing momentum at 109x forward.

APPENDIX — Latest Concall Brief: Q1 FY2026 (quarter ended 31 Mar 2026)

Earnings call held 05 May 2026 — CEO Jitendra Mohan, COO Sanjay Gajendra, CFO Desmond Lynch.

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Record \$308.4m revenue, +93% YoY — beat; non-GAAP EPS \$0.61.
Management tone	Bullish	'Key inflection point'; expanding TAM into optical & custom silicon.
Guidance delta	Raised	Q2 guide \$355-365m (>+15% QoQ) above prior trajectory.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q1-26 is a clean beat: record revenue of \$308.4m (+93% YoY, +14% QoQ) with GAAP operating income of \$61.8m and non-GAAP EPS of \$0.61 — no one-time distortion, just operating leverage on a 76% gross margin. The reported GAAP net income of \$80.3m does carry ~\$50m of SBC add-back versus non-GAAP, so the clean operating story is the 36.2% non-GAAP operating margin, not the headline EPS. The structural driver is unmistakable: PCIe Gen6 is now more than a third of revenue and Scorpio (~20% of revenue) is set to become the largest product line by year-end, with the 320-lane X-Series ramping in H2 and two new hyperscalers onboarding by end-2026 — each lifting dollar content per rack. Beyond connectivity, management is explicitly opening a multi-billion-dollar custom-silicon and optical front (fiber-coupler qualification underway, Leo CXL going GA on Azure by year-end), which widens the runway. The near-term catalyst is the Scorpio X production ramp and the Computex demo; the single biggest watch-point is customer concentration plus any AI-capex digestion that would expose the 109x-forward multiple. This is a flawless quarter on a flawless business — but the stock at \$363 already sits 48% above the street's \$245 target. Action: REDUCE / trim into strength; accumulate only on a pullback toward \$140-175.

C-1. Financial Performance Snapshot

- Revenue: \$308.4m | YoY +93% | QoQ +14% | **Beat**
- Non-GAAP Gross Margin: 76.4% | up ~70 bps QoQ | **Beat**
- Non-GAAP Operating Income: \$111.7m | margin 36.2% | **Beat**
- GAAP Net Income: \$80.3m | EPS (dil) \$0.44 | Non-GAAP Net Income \$110.1m | EPS \$0.61
- NOTE: GAAP-to-non-GAAP bridge is driven by stock-based comp (~\$50m/qtr); clean non-GAAP EPS = \$0.61.

C-2. Segment / Product Breakdown

- PCIe Gen6 portfolio: >1/3 of total revenue | strong growth | spans Aries signal-conditioning + Scorpio fabric.
- Scorpio (smart fabric switch): ~20% of revenue | ramping | to surpass P-Series as #1 product by year-end.
- Aries (retimers / smart cable modules): core franchise | millions of Gen6 ports shipped to date.
- Leo (CXL memory): early ramp on Microsoft Azure M-series VMs | GA expected year-end 2026.

C-3. Management Commentary Themes

- Inflection: 'at a key inflection point' — Our read: confidence in multi-year content growth. Tag: GUIDANCE. Tone: Transparent.
- TAM expansion: moving beyond connectivity into optical and custom silicon — Our read: new revenue vectors. Tag: EST. Tone: Transparent.
- Scorpio leadership: 320-lane X-Series shipping, H2 ramp — Our read: scale-up fabric is the growth engine. Tag: GUIDANCE. Tone: Transparent.

- Custom silicon: COO calls it 'a new multi-billion-dollar market opportunity' — Our read: directional, unquantified. Tag: EST. Tone: Hedged.
- Standards: UALink (Amazon, AMD 2027) and NVLink Fusion engagements — Our read: optionality, not yet revenue. Tag: EST. Tone: Transparent.

C-4. Operating & Business Metrics

- Revenue: Q1-26 = \$308.4m | Q4-25 ≈ \$270.5m | Q1-25 ≈ \$159.8m | Trend: improving.
- PCIe Gen6 mix: >33% of revenue this quarter | Trend: improving (broad adoption).
- Scorpio mix: ~20% of revenue | Trend: improving (to be #1 by year-end).
- Non-GAAP gross margin: 76.4% | Trend: stable-to-improving (Q2 guided ~73% on one-off non-cash item).

C-5. Margin Drivers

- Mix shift toward silicon vs hardware: +70 bps QoQ gross margin | Recurring: Yes | favourable signal-conditioning mix.
- One customer agreement (Q2): -200 bps non-cash gross-margin impact | Recurring: No | do not extrapolate.
- Operating leverage: non-GAAP op margin 36.2% | Recurring: Yes | opex growing slower than revenue.
- OpEx guide Q2: \$128-131m | Recurring: Yes | continued heavy R&D; investment.

C-6. Guidance & Forward Signals

- Q2-26 Revenue [GUIDANCE]: New = \$355-365m | Delta = raised (>+15% QoQ) | Credibility: High.
- Q2-26 Non-GAAP Gross Margin [GUIDANCE]: ~73% (incl 200bps non-cash) | Delta = down (one-off) | Credibility: High.
- Q2-26 Non-GAAP EPS [GUIDANCE]: \$0.68-0.70 | Delta = raised | Credibility: High.
- FY26 framing [GUIDANCE]: 'strong growth through 2026 into 2027'; Scorpio #1 by year-end | Delta = maintained-bullish | Credibility: Medium-High.

C-7. Capital Allocation

- Capex: ~\$40m TTM | scaling with test/lab capacity | modest vs revenue.
- M&A: \$65m TTM business acquisitions | optical / custom-silicon capability build-out.
- Dividends / Buybacks: None | all capital reinvested into growth.
- Net cash: ~\$1.18bn (cash \$148m + securities \$1.04bn) | Net debt movement: still deeply net-cash.

C-8. Q&A; Heat Map

- Harlan Sur (JPMorgan): Q: inference-workload opportunity? → A: Leo CXL + Scorpio in-network compute raise dollar content | Tone: Transparent.
- Blayne Curtis (Jefferies): Q: Scorpio X 320-lane readiness? → A: small configs shipping now, high-radix H2-26; Computex demo | Tone: Transparent.
- Ross Seymore (Deutsche Bank): Q: Leo memory demand trajectory? → A: Azure private beta, GA year-end, KV-cache win ships 2027 | Tone: Transparent.
- Dodged / watch-list for next quarter: explicit FY26 revenue target, named customer concentration %, custom-silicon revenue timing.

C-9. Risks Flagged

- Customer concentration: few hyperscalers drive revenue | Flagged by: analysts | Probability: M | Impact: H | Timeline: near-medium.
- Copper-to-optical transition: timing risk on product cycles | Flagged by: mgmt | Probability: L-M | Impact: M | Timeline: medium.

- Q2 gross-margin one-off: 200 bps non-cash drag | Flagged by: mgmt | Probability: certain | Impact: L | Timeline: near.
- Valuation (external): 109x forward leaves no cushion | Flagged by: analyst | Probability: H | Impact: H | Timeline: near.

C-10. Analyst Verdict

- Revenue visibility: **Intact** — record quarter, strong Q2 guide, Scorpio + Leo ramps add multi-year vectors.
- Margin trajectory: **Intact** — 76% gross / 36% non-GAAP operating margin; Q2 dip is a known one-off.
- Capital allocation quality: **Intact** — disciplined R&D; + tuck-in M&A; \$1.18bn net cash, no value-destructive moves.
- Competitive moat: **Intact** — design-win lock-in + COSMOS software, though NVLink and in-sourcing bear watching.
- Management credibility: **Intact** — founder-led, consistent execution, transparent on all but custom-silicon sizing.
- Valuation comfort: **Broken** — 109x forward / 63x sales, ~48% above street target; no margin of safety at CMP.
- Conviction call: **Unchanged** on the business; REDUCE on the stock — superb company, wrong price.
- Valuation snapshot: P/E = 245.8x (trailing) | Fwd P/E = 108.6x | EV/EBITDA = 265.1x | ROCE = 15.3% | ROE = 21.1%.